Maven Toys Executive Summary & Business Recommendations

Executive Summary

Maven Toys generated **$14.44M in Revenue** and **$4.01M in Profit** during the analysis period, achieving an overall **Profit Margin of 27.8%**.

The company demonstrated strong commercial growth; however, profitability growth is not keeping pace with revenue growth.

Key Performance Indicators

KPI	Value
Revenue	$14.44M
Profit	$4.01M
Profit Margin	27.8%
Units Sold	1.09M
Transactions	829K
Stores	50
Products	35

Critical Findings

1. Margin Compression

Revenue Growth: **+30.9%**

Profit Growth: **+16.0%**

Revenue is growing significantly faster than profit, indicating increasing pressure on margins.

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2. Electronics is the Most Profitable Category

Although Toys generates the highest revenue, Electronics delivers nearly the same profit while generating less than half the revenue.

Profit Margin:

- Electronics: 44.6%
- Toys: 21.2%

Electronics should become the primary growth category.

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3. Colorbuds is the Company's Strongest Product

Revenue: $1.56M

Profit: $835K

Margin: 53.4%

Colorbuds contributes more than 20% of total company profit and should be treated as a strategic product.

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4. Airport Stores Outperform All Other Locations

Airport stores generate:

- Highest Revenue per Store
- Highest Profit per Store
- Highest Margin

Airport locations represent the most successful operating model in the business.

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5. Average Order Value Opportunity

Current AOV:

$17.42

A $1 increase in AOV could generate approximately $829K in additional revenue.

Category Analysis

Category	Revenue	Profit	Margin
Toys	$5.09M	$1.08M	21.2%
Electronics	$2.25M	$1.00M	44.6%

Category	Revenue	Profit	Margin
Art & Crafts	$2.71M	$753K	27.8%
Games	$2.23M	$674K	30.3%
Sports & Outdoors	$2.17M	$506K	23.3%

Strategic Conclusion

Toys should be used for customer acquisition.

Electronics should be used for profit generation.

Product Analysis

Top Strategic Products

1. Colorbuds
2. Action Figure
3. Lego Bricks
4. Deck Of Cards
5. Glass Marbles

Products Requiring Review

1. Classic Dominoes
2. Uno Card Game
3. Chutes & Ladders
4. Teddy Bear
5. Monopoly

Important Observation

Lego Bricks generates high revenue but only 12.5% margin.

Pricing and supplier costs should be reviewed.

Store Analysis

Best Store Type

Airport

Why?

- Highest Revenue per Store
- Highest Profit per Store
- Highest Margin

Best Performing Stores

1. Ciudad de Mexico 2
2. Guadalajara 3
3. Ciudad de Mexico 1
4. Monterrey 2
5. Toluca 1

Stores Requiring Improvement

1. Cuernavaca 1
2. La Paz 1
3. Toluca 2
4. Campeche 2
5. Zacatecas 1

Marketing Recommendations

Priority 1

Increase investment in Electronics.

Priority 2

Launch dedicated Colorbuds campaigns.

Priority 3

Focus major campaigns during:

- Thursday
- Friday
- Saturday

Priority 4

Allocate budget:

- 60% High-Margin Products

- 30% High-Volume Products
- 10% Testing

Priority 5

Implement a customer loyalty program.

Sales Recommendations

Priority 1

Shift focus from Revenue to Profitability.

Priority 2

Implement Cross-Selling:

- Toys + Electronics
- Action Figure + Colorbuds
- Lego Bricks + Colorbuds

Priority 3

Implement Upselling Programs.

Priority 4

Measure:

- Profit per Transaction
- Average Order Value
- Profit Margin
- Profit per Store

Business Risks

1. Margin Compression
2. Dependence on Colorbuds
3. Low-Margin High-Volume Products
4. Inventory Inefficiency
5. Revenue Concentration

90-Day Action Plan

First 30 Days

- Increase Electronics visibility
- Launch Colorbuds campaign
- Review weak products
- Build Margin Dashboard

Days 31–60

- Implement Cross-Selling
- Train Sales Teams
- Launch Weekend Promotions

Days 61–90

- Reallocate Marketing Budget
- Optimize Inventory
- Evaluate Results

Executive Decisions Required

1. Increase Electronics Investment
2. Establish Colorbuds as a Hero Product
3. Raise Average Order Value
4. Replicate Airport Store Practices
5. Review Low-Profit Products
6. Adopt Profit-Focused KPIs
7. Optimize Marketing Budget Allocation
8. Align Sales Incentives with Profitability

Final Conclusion

The company is growing successfully, but profitability is not growing at the same pace as revenue.

The strongest opportunities for future growth are:

- Electronics Expansion
- Colorbuds Optimization
- Airport Store Replication
- Average Order Value Improvement
- Profit-Focused Decision Making

The most important issue requiring immediate management attention is Margin Compression.